

Wealth Forecast & Readiness

START HERE

Quick-start guide — how the forecast works and how it decides you're ready to retire.

This tool projects your wealth from today to age 100 and tests whether you can retire — including **early**, before super unlocks. Everything updates live as you type. Work left-to-right: **Your Plan** → **Your Assets** → **read the results**. This guide explains the two things people ask most: **how each asset grows** (page 2) and **how "retirement ready" is decided** (below).

HOW TO USE IT — 3 STEPS

- 1

Fill in "Your Plan"
Age now, the age you want to **retire**, your **preservation age** (when super unlocks — usually 60), and your **annual spending** in **today's dollars**. The readiness target is derived automatically as **34× spending**.
- 2

Add "Your Assets"
Add what you own — **super, UniSuper Defined Benefit, shares, cash, investment property**, and your **home**. For each: balance, expected return, and (where relevant) contributions or loan + repayments.
- 3

Read your results
The readiness cards tell you if you're on track (green ✓). The **Wealth Trajectory** chart shows the whole arc; the **Accumulation** and **Decumulation** tables show, year by year, what you hold and what you draw.

THE CORE IDEA

- Retiring early has two problems**
You can be *wealthy enough* yet still fail early retirement on **liquidity**. So the model asks two separate questions: (1) is there enough wealth overall, and (2) can you access enough of it *before* super becomes available?
- Why the home is excluded**
Your home earns no income unless you downsize or borrow against it — it's a lifestyle asset, not a retirement-funding asset. It sits outside the nest-egg tests (but its refinance capacity helps the bridge).

THE READINESS TEST — THREE QUESTIONS

You're **retirement ready** when both permanent checks (① & ②) pass **and** you clear the bridge (③) by either route. Everything is measured in **today's dollars**, at the first age you qualify, so figures line up directly with the targets.

- 1

Big-enough nest egg — the 34× rule
Super + Shares + Cash ≥ 34 × Spending
The classic financial-independence number. **34× ≈ a 2.9% withdrawal rate** (1 ÷ 34), deliberately more conservative than the well-known "4% rule" (25×) — because an early-retirement portfolio may need to last 40–50 years, and a lower draw leaves more safety margin. It answers: *"if I stopped working permanently, do my productive assets fund my lifestyle?"*
Example — \$60k spending → target = 60,000 × 34 = **\$2.04m** in investable assets (home not counted).
- 2

Growth engine — the 27× rule
Shares + Super ≥ 27 × Spending
Cash alone can't sustain a long retirement — inflation erodes it. Enough of your money must stay **invested**. **27× ≈ a 3.7% capacity** from growth assets. The gap between 34× and 27× is intentional: **34× tests sustainability, 27× tests that the portfolio keeps growing**.
Why two checks — \$2m cash + \$1m shares/super *passes* ① but *fails* ②: too much dead capital. \$1.5m shares/super + \$100k cash may pass ② but fail ①: too little wealth. The pair guards against both failure modes.
- 3

Bridge to preservation — surviving until super unlocks
If you retire at 52 and super unlocks at 60, there are **x = 8** years where super exists but you can't touch it. You must fund that gap from accessible money, plus a **security buffer** (extra years you set in Your Plan). Pass **either** route (**x** = years to preservation; **Cash Bucket** = cash + 80%-LVR home refinance):

③Ⓐ Split
Shares ≥ 27 × x/(x+40)
and Cash Bucket ≥ 7×
A two-stage portfolio: cash + home equity + some shares cover the bridge, then super takes over. The **x/(x+40)** term is an early-retirement penalty — retire earlier, hold more liquid assets. **Retire at 52:** 8/48 = 17% → shares ≥ 4.5× spending.
Retire at 59: 1/41 = 2.4% → barely any bridge.

③Ⓑ Bridge bucket
Shares + Cash Bucket ≥ (x+buffer)×
The simpler alternative: ignore portfolio design, just prove you hold enough accessible money to survive to super — plus a **security buffer** (extra years, set in Your Plan). **Retire at 52, 2-yr buffer, \$60k spend:** need (8+2) × 60k = \$600k. \$350k shares + \$250k cash → passes.

After preservation age, x = 0 — the bridge clears automatically, so readiness is simply ① + ②.

IN ONE LINE EACH	
LAYER	QUESTION IT ANSWERS
① 34×	Can I afford retirement forever ?
② 27×	Will my assets keep growing ?
③ Bridge	Can I survive before super unlocks ?
Together they avoid the classic Australian-FIRE mistake of treating super as either <i>fully available</i> (too optimistic) or <i>irrelevant</i> (too conservative). Super is a powerful engine — early retirees just need a temporary bridge to reach it.	

How each asset grows

REFERENCE

What the projection does to every asset, year by year — plus assumptions.

Every asset compounds at its **own return** and, where relevant, receives contributions until you retire. All returns can be shifted together by the **Market scenario** (Bad / Base / Good) in the Testing panel to stress-test sequence risk. Growth on super & shares is applied at the index rate; tax is realised only on sale.

THE ASSET TYPES

■ Super / SMSF

Balance compounds at its return each year and receives contributions while you're working. Grows untaxed at the index rate; locked until **preservation age**.

$$\text{next} = \text{balance} \times (1 + \text{return}) + \text{contributions}$$

■ UniSuper Defined Benefit

Not a balance — an **entitlement** built from benefit salary × years of service × age & service factors, growing with salary growth and service. Any accumulation-account component grows at its own return. Taken as a **lump sum at retirement**.

$$\text{benefit} = \text{salary} \times \text{service} \times \text{factors}$$

■ Shares / ETF

Balance compounds at its return plus regular contributions (dollar-cost averaging). Milestones flag when annual **return** overtakes your annual **contribution**.

$$\text{next} = \text{balance} \times (1 + \text{return}) + \text{contributions}$$

■ Cash & term deposits

Grows at its interest rate — no contributions modelled. This is your **liquid, always-accessible** pool, and the source spending is drawn from first.

$$\text{next} = \text{balance} \times (1 + \text{rate})$$

■ Investment property

Value compounds at capital growth. Rent (value × yield) minus outgoings, loan interest and principal flows to cash — a rental loss gives a negative-gearing tax benefit. Sold at the sell age (default = retirement): CGT at the non-super rate (no 50% discount), net proceeds → cash. Table shows **equity = value - loan**.

$$\text{value} \times (1 + \text{growth}); \text{equity} = \text{value} - \text{loan}$$

■ Home (PPOR)

Value compounds at capital growth; the loan amortises as repayments pay it down. Equity rises from **both** sides. At retirement it can be refinanced to **80% LVR** to bank a cash buffer for the bridge.

$$\text{equity} = \text{value} - \text{loan}; \text{refi} = 0.8 \cdot \text{value} - \text{loan}$$

HOW THE PLAN ACTUALLY PAYS YOU IN RETIREMENT

① At retirement

Refinance the home to 80% LVR and bank the cash as a security buffer. Super & DB become the long-term engine.



② Bridge years (before 60)

Spending is paid from **cash**, topped up from **shares** as needed. Super stays locked and keeps compounding.



③ Pension years (after 60)

Super unlocks — spending is drawn from it (never below the ATO minimum drawdown). Shares keep compounding.

TWO MORE THINGS TO KNOW

Today's \$ vs Future \$

Toggle at the top of the results. **Today's \$** = money you understand now (inflation stripped out). **Future \$** = the actual larger nominal numbers. Targets are always in today's money.

Stress-test it

In the 🎮 Testing panel, switch **Market scenario** to **Bad** to lower every return by the swing, or add a one-off **Sequence Shock** (a crash in a chosen year). If you still don't run out, you're robust.

KEY MULTIPLES, AT A GLANCE

RULE	≈ DRAW	TESTS
34×	2.9%	Total capital
27×	3.7%	Growth assets
7×	—	Cash for bridge
(x+b)×	—	Whole bridge + buffer

x = years from your age to preservation; b = your Security buffer (extra years, set in Your Plan). All multiples are applied to your **today's-dollar annual spending**.

⚠ GOOD TO KNOW (ASSUMPTIONS)

Returns are fixed estimates, not real market ups-and-downs. Tax on shares/super is applied only on sale, at a flat rate (no franking credits; property CGT takes no 50% discount). The 80% refinance at retirement assumes a lender will offer it. Defined Benefit is treated as a lump sum taken at retirement.

NOT FINANCIAL ADVICE

This is an educational planning sandbox to explore scenarios — a guide only. It is not financial, tax, or retirement advice. Check important decisions with a licensed adviser.